



Province of the
EASTERN CAPE
EDUCATION

Iphondo leMpuma Kapa: Isebe leMfundo
Provinsie van die Oos Kaap: Departement van Onderwys
Porafensie Ya Kapa Botjhabela: Lefapha la Thuto

NATIONAL SENIOR CERTIFICATE

GRADE 11

NOVEMBER 2024

ACCOUNTING P2

MARKS: 150

TIME: 2 hours



* I A C C N E 2 *

This question paper consists of 14 pages including a formula sheet and a 11-page answer book.

INSTRUCTIONS AND INFORMATION

Read the following instructions carefully and follow them precisely.

1. Answer ALL the questions.
2. A special ANSWER BOOK is provided in which to answer ALL questions.
3. A Financial Indicator Formula Sheet is attached at the end of this question paper.
4. Show ALL workings to earn part-marks.
5. You may use a non-programmable calculator.
6. You may use a dark pencil or blue/black ink to answer questions.
7. Where applicable, show ALL calculations to ONE decimal point.
8. Write neatly and legibly.
9. Use the information in the table below as a guide when answering the question paper. Try NOT to deviate from it.

QUESTION	TOPIC	MARKS	TIME (minutes)
1	Reconciliations and Internal Control	35	30
2	Periodic stock system and Cost Accounting	50	40
3	Budgeting	35	30
4	VAT, Problem solving and Ethics	30	20
TOTAL		150	120

QUESTION 1: RECONCILIATIONS AND INTERNAL CONTROL**(35 marks; 30 minutes)****1.1 CREDITORS RECONCILIATION**

Muller Stores has received a statement from a creditor, Kouga Traders at the end of October 2024. The balance on the statement does not correspond with the balance in the Creditors' Ledger of Muller Stores.

INFORMATION:
CREDITORS LEDGER OF MULLER STORES
KOUGA TRADERS

Reference: CL 11

Date	Details	Debit	Credit	Balance
1 Oct	Balance			13 500(cr)
4 Oct	Invoice no. 5270		21 600	35 100
6 Oct	EFT no. 340	6 400		28 700
6 Oct	Discount received	640		28 060
13 Oct	Invoice no. 5575		9 760	37 820
16 Oct	Debit note no. 215	140		37 680
24 Oct	Invoice no. 5601		2 494	40 174
28 Oct	EFT no. 388	10 000		30 174
28 Oct	Discount received	1 000		29 174

KOUGA TRADERS DEBTOR'S STATEMENT				
Muller Stores 8 Baken Street Joubertina 6540			Reference: DL 3	
			Statement date: 25 October 2024	
		DEBIT	CREDIT	BALANCE
1 Oct	Balance			13 500(dr)
4 Oct	Invoice no. 5270	11 600		25 100
8 Oct	Receipt no. 868		6 400	18 700
13 Oct	Invoice no. 5575	9 760		28 460
16 Oct	Credit Note no. 364		1 400	27 060
24 Oct	Invoice no. 5601	2 494		29 554

Additional information:

- (i) Muller Stores made an error in processing Invoice 5270.
- (ii) Kouga Traders should have granted the discount on 6 October 2024.
- (iii) An investigation showed that the amount reflected on 16 October 2024, with regards to the goods returned by Muller Traders, was correctly entered in the books of Kouga Traders.

REQUIRED:

- 1.1.1 Use the table provided in the ANSWER BOOK to show changes/corrections in the Creditors Ledger of Muller Traders on 31 October 2024. Use the Debtor's statement received from Kouga Traders' column to indicate the changes/corrections that need to be made on the statement of Kouga Traders.

Indicate an increase (+) or decrease (–) next to each amount. (11)

- 1.1.2 Name TWO tasks of the creditors' clerk to maintain or improve the internal control of creditors. (2)

- 1.1.3 Before granting credit to new debtors, it is important for Kouga Traders to establish effective control measures. Prior to granting credit, documentation such as identification and proof of address is mandatory. Identify a specific document that Kouga Traders may accept from new debtors as valid proof of residency. (1)

1.2 BANK RECONCILIATION

Time Tech Traders buys and sells smart watches. The business is owned by Elgin Timekeeper. Time Tech Traders buys and sells stock on credit and for cash. The official bank statement for September 2024 was received on 25 September 2024. All cash transactions are controlled by Carro Johnson.

REQUIRED:

- 1.2.1 Analyse each transaction below by completing the columns in the table in the ANSWER BOOK. (15)

- 1.2.2 As the internal auditor, you are not happy with the control of cash in the business.
- Explain TWO problems you have identified from the transactions, which show a lack of control of cash. Quote figures.
 - Give advice on how EACH problem can be avoided in future. (6)

INFORMATION:

TRANSACTIONS for September 2024:

- (i) A stop-order payment of R6 600 for the monthly repayment on the loan from Tempo Bank must still be recorded by the business.
- (ii) EFT 283 for R2 400 issued to a creditor as part-payment of the account of R4 000 appeared in the cash journal only.
- (iii) EFT 288 for R375 appeared on the bank statement. This EFT was issued to Chrono Link Suppliers for stock purchased on 12 September 2024. It was incorrectly entered as R357 in the cash journal.
- (iv) A deposit of R52 000 made on 17 September 2024 was entered in the cash journal but did not appear on the bank statement.

- (v) The bank statement showed bank charges of R359 which have not yet been recorded by the business.
- (vi) EFT 293 for R1 250 from the previous month's Reconciliation Statement, issued to Vodamoda, for the monthly telephone account appeared on the September 2024 bank statement.
- (vii) A deposit of R15 000 for rent received from Moses Traders did not appear on the bank statement for September 2024. After an investigation, Carro stated that she was robbed on her way to the bank. The owner authorised the cancellation of this deposit as he was not certain if any of this money will ever be recovered.
- (viii) A payment of R10 000 received from a debtor, was recorded correct on the Bank statement, but was recorded as a payment in the Bank account.

QUESTION 2: PERIODIC STOCK SYSTEM AND COST ACCOUNTING**(50 marks; 40 minutes)****2.1 CARLON'S APPAREL**

Carlton's Apparel is a retail business that deals in soccer gear. Carlton applies a 50% mark-up on cost on all his products.

REQUIRED:

2.1.1 If this business was to use the periodic system, use the information to calculate the following:

- Total Purchases
- Total Sales (8)

2.1.2 Help Carlton to determine the gross profit, by preparing a Trading Account in the General ledger. (7)

2.1.3 Carlton is concerned about the high transport costs he has to pay on stock purchases (refer to carriage on purchases). Give Carlton advice on how he can solve this problem. (2)

INFORMATION:

The information below was extracted from the General Ledger on 31 August 2024, the end of the financial year.

Opening stock	R400 200
Purchases on credit	715 000
Purchases for cash	174 000
Credit sales	900 650
Cash sales	1 140 000
Debtors' allowances	46 200
Customs duty	46 100
Carriage on sales	93 400
Carriage on purchases	170 000

Additional information:

The following have not yet been taken into account:

- (i) A debtor returned stock which she bought for R2 000 (cost price R1 000).
- (ii) A soccer kit was donated to the local club. The cost of the kit is R3 200.
- (iii) Carlton took stock, valued at R900, home. He did this before the stock take had been done.
- (iv) According to a stock take done on 31 July 2024, the value of stock on hand is R265 000 (after taking the information given above into account).

2.2 MANUFACTURING CONCEPTS

Three options are provided for each of the statements below. Choose the answer and write only the correct answer in the ANSWER BOOK.

2.2.1

direct labour cost; administrative cost; factory overheads

The wages paid to a factory cleaner will be classified as ...

(1)

2.2.2

insurance; packing material; stationery

Which ONE of the above will NOT be regarded as an administration cost?

(1)

2.2.3

Advertising; Raw material;
Depreciation on plant and machinery

... is an example of a selling and distribution cost.

(1)

2.3 TIAN LANGA

The business is based in Butterworth and manufactures leather back packs. The owner is Tian Langa. The current financial year ended 30 June 2024.

REQUIRED:

2.3.1 Calculate the following for the year ended 30 June 2024:

- Factory overheads

(14)

2.3.2 Prepare the following account in the General Ledger:

- Work-in-Progress

(8)

INFORMATION:

1.	Balances	30 June 2024	30 June 2023
	Work-in-Progress	20 400	32 440
	Finished Goods Stock	?	37 600
	Factory Indirect Material	7 200	10 870

2. Transactions, and other financial information, for the year ended 30 June 2024.

Total Prime costs	452 680
Direct Labour Costs	228 080
Salaries:	
• Factory Foreman	66 000
• Sales manager	36 000
Factory indirect material purchased	30 400
Water and Electricity	28 700
Rent Expense	66 900
Insurance (factory)	10 600
Depreciation on factory plant and machinery	11 400
Sundry factory expenses	12 420
Advertising	10 980
Sales of finished goods (Goods are sold at a profit mark-up of 50% on cost)	900 000

- Rent is allocated in proportion to floor space occupied by the different departments, which is as follows:

	SALES	FACTORY	OFFICE
Square metres	100	2 800	600

- 20% of the water and electricity is allocated to the office and 10% to the sales department. The balance applies to the factory.
- The insurance is wrongly allocated in the ratio 1 : 1 : 1. The factory uses $66\frac{2}{3}$ % of the electricity.

2.4 BT RUGBY BALLS

REQUIRED:

Study the information provided and answer the following questions:

- 2.4.1 Calculate the break-even point for the year ended 29 February 2024. (4)
- 2.4.2 Should Bevan be satisfied with the level of production of rugby balls in the 2024 financial year? Explain briefly by quoting appropriate figures. (2)
- 2.4.3 Briefly explain what is meant by “economies of scale” with specific reference to fixed costs. (2)

INFORMATION:

- (i) The business, owned by Bevan, produced and sold 4 700 soccer balls during the year ended 29 February 2024. The selling price is R260 per ball.

During the previous year 4 200 balls were produced and sold. The selling price in 2023 was R285, but this had to be reduced due to increased competition from other manufacturers.

- (ii) Calculations from the accounting records:

	Type of cost	2024	2023
		Per unit based on 4 700 units	Per unit based on 4 200 units
Selling price		R260,00	R285,00
Administration and Factory overhead cost	Fixed	R76,60	R89,82
Direct labour cost	Variable	R66,00	R53,50
Selling and distribution cost	Variable	R35,00	R18,40
Direct material cost	Variable	R77,50	R80,00

QUESTION 3: BUDGETING**(35 marks; 30 minutes)****3.1 MOSES TRADERS**

The following information has been taken from the books of Moses Traders, a sole proprietor.

REQUIRED:

- 3.1.1 Name any TWO items that would not appear in the Cash Budget. (2)
- 3.1.2 Calculate the percentage of goods sold on credit during September 2024. (3)
- 3.1.3 Calculate the amount that the business expects to receive from debtors during October 2024. (6)
- 3.1.4 Refer to **INFORMATION A** and complete the Cash budget in the ANSWER BOOK. (18)
- 3.1.5 Refer to **INFORMATION B**:

Compare the actual figures of September 2024 against the budgeted amounts.

Advise the owner on possible reasons for the differences and what he could do to improve the situation during October 2024. No figures required. (6)

INFORMATION A:

1. Sales figures for 2024:

MONTHS	ACTUAL		BUDGETED	
	CASH	CREDIT	CASH	CREDIT
AUGUST	22 800	90 200		
SEPTEMBER	16 600	60 400		
OCTOBER			12 600	10% less than credit sales of September

2. **Credit sales are generally collected as follows:**
- 50% in the month of sales (these debtors receive a 5% discount)
 - 30% after 30 days (in the month after sales)
 - 15% after 60 days (two months after sales)
 - 5% is written off as bad debts
3. **With regard to trading stock, the following must be noted:**
- The business maintains a mark-up percentage of 40% on cost for sales and a fixed base stock level (stock sold in a month is replaced in that month).
 - All purchases of stock are made on credit.
 - Creditors are paid in the month after the purchase of the stock.

4. Interest on fixed deposit amounts to R14 100 per year. This is received in three equal instalments on 1 February, 1 June and 1 October each year.
5. R3 000 per month is allocated for maintenance of buildings.
6. The total rent income for the previous financial year was R48 000. The rent is expected to decrease by 10% on 1 October 2024.
7. The owner agreed that his drawings per month should not exceed R9 000. This comprise R7 000 cash and R2 000 worth of trading stock.
8. Moses decided that he will increase his capital contribution during October 2024 by R50 000 cash and by R25 000 worth of equipment.
9. The municipality gets paid the month after they sent out the water and electricity bills. They sent the bill for August 2024, R2 400, late, so it couldn't be paid in September. The bill for September 2024, which is 10% higher than the last one, came on time and will be paid along with the overdue August 2024 bill.
10. The bank balance reflected an overdraft of R24 800 on 30 September 2024.

INFORMATION B:

SEPTEMBER 2024	ACTUAL	BUDGETED
Rent income	R3 000	R4 000
Drawings	R10 500	R9 000
Maintenance of buildings	R3 000	R4 500

QUESTION 4: VAT, PROBLEM SOLVING AND ETHICS**(30 marks; 20 minutes)****4.1 VAT**

You are provided with information relating to Mia's Fresh Picks for the month October 2024. The business uses the perpetual inventory system and buys and sells all its goods for cash. The standard VAT rate is 15%.

REQUIRED:

4.1.1 What does the abbreviation VAT stand for? (1)

4.1.2 Why does government classify certain items as zero-rated for VAT?
Name TWO zero-rated items. (4)

4.1.3 Briefly explain to Mia what is meant by Output VAT and Input VAT. (2)

4.1.4 Refer to **INFORMATION A:**

Calculate the VAT paid on the new shop equipment bought. (3)

4.1.5 Refer to **INFORMATION B:**

Consider the information in regards to the goods purchased from suppliers during October 2024.

Calculate:

- VAT on these goods
- The cost of all goods purchased, excluding VAT (7)

INFORMATION A:

Mia bought shop equipment for cash on 1 October 2024 for R8 500, excluding VAT.

INFORMATION B:

Mia bought goods on credit from suppliers for R62 974, including 15% VAT. She also bought goods for R12 800 that were zero-rated VAT items.

4.2 PROBLEM SOLVING AND ETHICS

Kyle's Bikes sells one brand of bikes. The owner, Kyle Rob, has three branches operating in Qonce, Camdeboo and Humansdorp. The three branches are managed by Sassa, Jaco and Bevan, respectively. Kyle Rob has obtained the annual figures from the three branches for the financial period ending 31 October 2024.

REQUIRED:

4.2.1 Refer to **INFORMATION A**:

Identify ONE problem in relation to each branch, quoting figures to support the problem. In each case, offer Kyle Rob advice on how to solve the problem. (9)

4.2.2 Refer to **INFORMATION B**:

What is a whistle-blower? (2)

4.2.3 In your opinion, what are the ethical characteristics of a whistle-blower? Name TWO characteristics. (2)

INFORMATION A:

BRANCH	QONCE	CAMDEBOO	HUMANSDORP
MANAGER	Sassa	Jaco	Bevan
Selling price per bike	R2 500	R2 500	R2 500
Number of bikes sold	400	200	380
Sales revenue	R900 000	R500 000	R950 000
Salaries of managers	R18 000 p.m.	R22 000 p.m.	R18 000 p.m.
Leave taken by managers	22 days	21 days	34 days
Number of bikes returned by customers	15	14	32

INFORMATION B:

Matt is the HR manager of Kyle's Bikes. A worker named Carter approached Matt and explained that he needs to tell him about the misuse of the business' assets, but he is concerned about his job.

Matt reminded him that he is ethically and legally obligated to report these issues to Kyle Rob. He told Carter that he has protection under the whistle-blower laws.

GRADE 11 ACCOUNTING FINANCIAL INDICATOR FORMULA SHEET		
$\frac{\text{Gross profit}}{\text{Sales}} \times \frac{100}{1}$	$\frac{\text{Gross profit}}{\text{Cost of sales}} \times \frac{100}{1}$	$\frac{\text{Net profit}}{\text{Sales}} \times \frac{100}{1}$
$\frac{\text{Operating expenses}}{\text{Sales}} \times \frac{100}{1}$	$\frac{\text{Operating profit}}{\text{Sales}} \times \frac{100}{1}$	
$\frac{\text{Total earnings by partner}}{\text{Partner's Average equity}} \times \frac{100}{1}$	$\frac{\text{Net profit}}{\text{Average owners equity}} \times \frac{100}{1}$	
Current assets : Current liabilities	(Current assets – Inventories) : Current liabilities	
(Trade and other receivables + Cash and cash equivalents) : Current liabilities		
$\frac{\text{Average debtors}}{\text{Credit sales}} \times \frac{365}{1}$	$\frac{\text{Average creditors}}{\text{Credit purchases}} \times \frac{365}{1}$	
$\frac{\text{Average inventories}}{\text{Cost of sales}} \times \frac{365 \text{ or } 12}{1}$	$\frac{\text{Cost of sales}}{\text{Average inventories}}$	
Non-current liabilities: Owners' equity	Total assets: Total liabilities	
$\frac{\text{Total fixed costs}}{\text{Selling Price per unit-Variable Costs per unit}}$		



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GRADE 11

NOVEMBER 2024

ACCOUNTING P2 ANSWER BOOK

QUESTION	MAX MARKS	MARKS OBTAINED	MODERATED MARKS
1	35		
2	50		
3	35		
4	30		
TOTAL	150		



* I A C A B E 2 *

This answer book consists of 11 pages.

QUESTION 1**1.1.1 CREDITORS**

	CREDITOR'S LEDGER OF MULLER TRADERS	STATEMENT OF KOUGA TRADERS
Provisional balances		
Balance after changes		

11

1.1.2 Name TWO tasks of the creditors' clerk to maintain or improve the internal control of creditors.

2

1.1.3 Prior to granting credit, documentation such as identification and proof of address is mandatory. Identify a specific document that Kouga Traders may accept from new debtors as valid proof of residency.

--

1

1.2.1 BANK RECONCILIATION

No.	Details of contra account	Bank Account		Bank Reconciliation Statement		No entry (show with x)
		Dr	Cr	Dr	Cr	
(i)						
(ii)						
(iii)						
(iv)						
(v)						
(vi)						
(vii)						
(viii)						

15

1.2.2 Explain TWO problems you have identified from the transactions, which show a lack of control of cash. Quote figures. Give advice on how EACH problem can be avoided in future.

TWO PROBLEMS WITH FIGURES	ADVICE

6

QUESTION 1:
TOTAL MARKS

35

QUESTION 2**2.1.1 Calculate:**

(i) Total Purchases	
CALCULATIONS	ANSWER
(ii) Total Sales	
CALCULATIONS	ANSWER

8

2.1.2

TRADING ACCOUNT			
Dr			Cr
DETAILS	AMOUNT	DETAILS	AMOUNT

7

2.1.3

Carlton is concerned about the high transport costs he has to pay on stock purchases (refer to carriage on purchases). Give Carlton advice on how he can solve this problem.

2

2.2 Manufacturing Concepts

2.2.1	
2.2.2	
2.2.3	

3

2.3.1

FACTORY OVERHEADS	WORKINGS	AMOUNT
TOTAL		

14

2.3.2

Dr	Work-in-Progress		Cr
DETAILS	AMOUNT	DETAILS	AMOUNT

8

2.4 BT RUGBY BALLS

2.4.1

Calculate the break-even point for the year ended 29 February 2024.	
CALCULATION	ANSWER

4

2.4.2

Should Bevan be satisfied with the level of production of rugby balls in the 2024 financial year? Explain briefly quoting appropriate figures.

2

2.4.3

Briefly explain what is meant by “economies of scale” with specific reference to fixed costs.

2

QUESTION 2: TOTAL MARKS	50	
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OPEN

QUESTION 3

3.1.1 Name any TWO items that would not appear in a Cash budget.

2

3.1.2 Calculate the percentage of goods sold on credit during September 2024.

CALCULATION	ANSWER

3

3.1.3 DEBTORS' COLLECTION SCHEDULE

Month in 2024	Credit Sales	Calculations	October
August	R90 200		
September	R60 400		
October			
CASH FROM DEBTORS			

6

3.1.4 CASH BUDGET

CASH RECEIPTS	OCTOBER
Cash from debtors	
Cash Sales	
CASH PAYMENTS	
Cash paid to creditors	
Cash surplus / deficit for the month	
Bank (Opening balance)	
Bank (Closing balance)	

18

3.1.5

Compare the actual figures of September 2024 against the budgeted amounts.

Advise the owner on possible reasons for the differences and what he could do to improve the situation during October 2024. No figures required.

	REASONS	ADVICE
Rent income		
Drawings		
Maintenance of buildings		

6

QUESTION 3:
TOTAL MARKS

35

QUESTION 4**4.1 VAT**

4.1.1 What does the abbreviation VAT stand for?

--

1

4.1.2 Why does government classify certain items as zero-rated for VAT? Name TWO zero-rated items.

REASON:	
ITEM 1	
ITEM 2	

4

4.1.3 Briefly explain to Mia what is meant by Output VAT and Input VAT.

OUTPUT VAT	
INPUT VAT	

2

4.1.4 Calculate the VAT paid on the new shop equipment bought.

CALCULATION	ANSWER

3

4.1.5 Consider the goods purchased from suppliers during October 2024.

CALCULATIONS	ANSWERS
VAT on these goods:	
The cost of all goods purchased, excluding VAT.	

7

4.2 Problem solving and Ethics

4.2.1 Identify ONE problem in relation to each branch, quoting figures to support the problem. In each case, offer Kyle Rob advice on how to solve the problem.

	PROBLEM AND FIGURES	ADVICE
QONCE		
CAMDEBOO		
HUMANSDORP		

9

4.2.2 What is a whistle-blower?

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2

4.2.3 In your opinion, what are the ethical characteristics of a whistle-blower? Name TWO characteristics.

2

QUESTION 4:
TOTAL MARKS

30

TOTAL: 150

